

Apple Inc.
AAPL NASDAQ

Hold \$302.95 ▼ 0.64% 12M Price Target \$335.00 52-Week Range \$223.78 – \$344.57 Market Cap \$4.42T

AAPL: CEO Handoff Jitters Meet China Supply Chain Reshuffle

WHAT HAPPENED

- Stock is down 4 days in a row (~\$10 off the highs) and today's volume is weirdly low (4M vs the usual 40M+) — that tells me this isn't panic selling, it's a slow drift as investors wait to see how the Sept 1 CEO handoff to John Ternus lands. Tim Cook leaving after 15 years is a genuine "who's driving the bus" moment for a \$4.4T company.
- The Digital Trends story matters more than it looks: Apple is testing Chinese DRAM (memory chips) from CXMT even after they refused to cut prices. Translation — Apple is trying to diversify chip suppliers to hedge against tariff risk, and they're willing to pay up to do it. That's a margin headwind.

WHY IT MATTERS

The CEO transition on Sept 1 is the near-term overhang — Ternus is a hardware guy (ran the iPhone engineering team), so the market is going to obsess over whether Apple's Services business (the high-margin App Store/subscriptions engine that Wall Street actually values) stays on track under a hardware-focused CEO. The bigger picture: Apple is stuck in the middle of the US-China tariff standoff, and the CXMT news shows they're actively trying to reduce dependence on both US and Korean chip suppliers — which means they see more tariff pain coming, not less. The unusual put buying at \$315 and \$322.5 strikes (huge volume vs open interest, meaning fresh bets) tells me institutions are buying insurance against a September stumble. Watch for whether the White House exempts consumer electronics from any new China tariff round — that's the single biggest swing factor for the next 90 days.

POLICY & POLITICAL WATCH

The big one: Section 232 tariff investigations on semiconductors are still open, and any expansion to finished consumer electronics would hit Apple directly — roughly 80% of iPhones are still assembled in China despite the India shift. On the flip side, the CHIPS Act reshoring incentives are helping Apple's TSMC Arizona partnership, which is why they've been publicly coying up to the administration with US manufacturing commitments. Also watch the DOJ antitrust case on the App Store — if the court forces Apple to allow alternative payment systems in the US (like the EU already did), that's a direct hit to Services margins, which is the crown jewel of the valuation story.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$302.95
12M Price Target	\$335.00
Upside / (Downside)	+10.6%
Market Cap	\$4.42T
FY2026E Revenue	\$445M
FY2027E Revenue	\$478M
FY2026E EPS	\$7.85
FY2027E EPS	\$8.60
Fwd P/E	38.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$320.00	\$305.00	\$285.00
6 Months	\$355.00	\$320.00	\$275.00
1 Year	\$380.00	\$335.00	\$260.00
2 Years	\$450.00	\$375.00	\$250.00
5 Years	\$600.00	\$475.00	\$240.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech broadly (+1.77% today) is being led by AI infrastructure — CoreWeave and Supermicro earnings blew out, and the "picks and shovels" theme (companies selling the tools to build AI, not AI itself) is where money is flowing. Energy is on a 5-day tear (+6%), likely on geopolitical/Middle East risk premium.

COOLING OFF: Real Estate (-2.2% over 5 days) is bleeding as rate-cut expectations get pushed out. Financials drifting on yield curve concerns.

ROTATION WATCH: Money is rotating OUT of mega-cap consumer tech (Apple) and INTO AI infrastructure plays — that's why AAPL is down while the tech sector is up. Investors want direct AI exposure, and Apple's AI story is seen as a "wait and see."

RELATED PLAY: If you want the AI infrastructure trade that's actually working right now, look at the data center and power supply names — the Yahoo headline literally said "the real AI money is in plumbing." NVDA, AVGO, and even the utilities powering data centers are catching that bid.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingmaker — every AI infrastructure buildout goes through their GPUs, and the Norway sovereign wealth fund headline shows even government money is piling in.
- AVGO (Broadcom): Custom AI chips for hyperscalers (Google, Meta) — direct beneficiary of AI capex that Apple is only tangentially exposed to.

AAPL CONTEXT: Apple is LAGGING its mega-cap tech peers right now because it's viewed as an AI consumer, not an AI producer. Until Ternus articulates a clear AI product roadmap that gets people excited, Apple stays a "safe harbor" name rather than a "growth engine" — that means it underperforms in AI rallies and outperforms in risk-off tape.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 3-5% of portfolio (core holding)

Entry Points: \$285-295 on tariff/transition pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Services growth drops below 10% YoY or China revenue falls >20%

Hedging: Buy protective puts around September 1 CEO transition date